



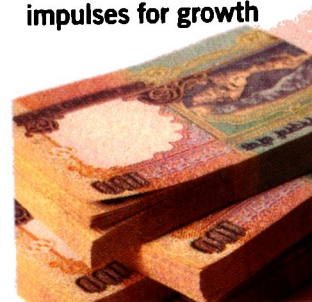
**VIDUR KANODIA**, DELHI IT PROFESSIONAL  
**PORTFOLIO:** Banking and finance, steel, pharma and textiles  
**INVESTMENT:** Rs 15 lakh  
**THE INDEX WHEN HE INVESTED:** 20,000  
**LOSS:** Rs 5 lakh  
**WHAT DID HE LOSE MONEY IN?:** IFCI, YES Bank, Reliance Natural Resources, Rathi Steel  
**MODE OF INVESTMENT:** Online trading



**BAKUL GANDHI**, AHMEDABAD PHARMA MANUFACTURER  
**PORTFOLIO:** Energy, steel and infrastructure  
**INVESTMENT:** Rs 15 lakh  
**THE INDEX WHEN HE INVESTED:** 16,000  
**LOSS:** Over Rs 10 lakh  
**WHAT DID HE LOSE MONEY IN?:** Reliance Energy, Neyveli Lignite, Jindal, GMR Infrastructure, Reliance Natural Resources  
**MODE OF INVESTMENT:** F&O through broker

## FEEL-GOOD FACTORS

- The India story is yet intact
- GDP forecast for 2008-09 is 8.5 per cent
- Corporate results expected to be healthy
- Indian value stocks still very attractive
- India is expected to gain from US downturn
- Favourable interest rate regime expected
- Budget to offer new impulses for growth



drove the market and brought it down. These are the signs investors must learn to read if they are to insulate themselves from the madness of the market.

Sure the economy was chugging along well, corporate revenues had notched a 30-plus per cent rise for 19 straight quarters, and with no crisis on the agriculture front, 9-per cent GDP growth was a given. But did it justify the rise of the Sensex to 21,000 from the September levels of 17,000? Stock markets are driven by both science and sentiments—optimism or pessimism. In this case it seemed optimism or irrational exuberance had taken charge of the market. In fact, Dalal Street folklore has it that in October 2007 a group of HNIs did predict a slide and punt on a fall just before Diwali, pushing the Sensex down. Their rationale: the US subprime crisis was for real, liquidity in terms of FII flows would be affected and valuations of companies had far exceeded real

expectations. Outsmarted, however, they burnt their fingers as the caucus of new issue promoters drove the markets up. Reality though is now out and staring at investors. The use of NBFCs to route funding for speculators, the ramping up of shares for IPO valuations, the return of kerb deals—all this reminds us of the 1992 scam era. Clearly, these are worrying factors for the finance ministry and the regulator to take up.

Investors though should have cause for optimism. Yes, there is life after the crash. For life, as Yudhishtir pointed out, will be celebrated amidst mortality. The Indian growth story is intact with a forecast of over 8.5 per cent for 2008-09. The investment pipeline estimated to be worth over Rs 5,00,000 crore, implementation of infrastructure projects and domestic demand should keep the economy chugging comfortably. Translated, Indian stocks are and will be attractive to long-term investors. Greed may be good on reel life, as Gordon Gekko said in Wall Street, but in real life it spells trouble. They say that it is risk that determines rewards. And it is the level of rewards that investors seek that determines how safe their money is.

with Nandini Vaish



**SANJEEV PRASAD**, HEAD RESEARCH, KOTAK INSTL BROKING

**"A rally of 40% in four months was not sustainable and had to correct. Also at play were vested interests for big IPOs."**